complex situation that the governor has to make a judgment call. More than ever before, I could relate to the phrase, ‘the buck stops here’.

Pre-policy Interaction with the Government

There is a standard practice of the governor meeting the finance minister a few days before the scheduled policy review to apprise him of the Reserve Bank’s assessment of the macroeconomic situation and the policy stance.

In the aftermath of the terrorist attacks in Mumbai, Chidambaram moved from the finance ministry to the home ministry in November 2008, two months after I took over as governor, and returned to the finance ministry in August 2012 after Pranab Mukherjee became the President of India, roughly a year before I stepped down. So, during much of my tenure as governor, Pranab Mukherjee was the finance minister, with Chidambaram returning for the last thirteen months. The prime minister held the finance portfolio for brief periods during the transitions.

The meetings with Chidambaram and Pranab Mukherjee were different in their setting. Chidambaram would always meet me alone, although occasionally he would invite the finance secretary and the chief economic adviser to join for the last ten minutes or so. He would typically hear me out and give his point of view, or ‘advice’ as he called it, unequivocally and firmly.

The meetings with Pranab Mukherjee, on the other hand, were more formal and larger in setting with all the secretaries of the finance ministry and all his advisers being present and actively participating.[2] All the talking at these pre-policy meetings would be done by his team while he himself mostly stayed quiet. I could never figure out if they had a strategy session in preparation for this meeting or if all of the presentations of the ‘finance minister’s view’ by his staff were spontaneous.

There was also a difference, at a substantive level, in the meetings with Pranab Mukherjee and Chidambaram. Mukherjee’s stance was straightforward—that the Reserve Bank should ease on the interest rate to support growth. Chidambaram, on the other hand, was more nuanced; he